

JUDGMENT SHEET
ISLAMABAD HIGH COURT, ISLAMABAD

I.C.A No.292-2022

Xian Senshe Electronic Technology Corporation Pvt. Ltd.

Vs.

Federation of Pakistan and others.

Appellant by: Mr. Muhammad Musawar Gill and Mr.
Muhammad Zaheer, Advocates.

Respondents by: Syed Ishfaq Hussain Naqvi and Ms.
Hajira Zakir Shah, Advocates.

Date of Hearing 15.02.2023.

MOHSIN AKHTAR KAYANI, J. Through the instant appeal, the appellant has assailed the order dated 20.06.2022, passed by learned Judge in Chambers in W.P No.2758/2021, whereby the writ petition filed was dismissed.

2. Learned counsel for the appellant contends that the writ petition was filed by the appellant on the ground that petitioner's company was selected for audit of the year 2016 under Section 214D of the Income Tax Ordinance, 2001 and subsequent proceedings initiated by the respondents in terms of notice dated 31.05.2019 under Section 214D dated 05.10.2020, under Section 176(1) dated 05.10.2020 and under Sections 122(9) of the Income Tax Ordinance, 2001 have been assailed primarily on the ground that notice under Section 214D of Income Tax Ordinance is without jurisdiction, when the said provision has already been repealed through Finance Act, 2018, which was passed by the National Assembly on 25.06.2018.

3. Learned AAG on behalf of the Federation contends that writ petition was not maintainable, because of alternate efficacious remedy available under Income Tax Law. The taxpayer can avail the

opportunity to file an appeal against the order of Deputy Commissioner Inland Revenue. The legal proceedings have been initiated against the taxpayer after selection of his case by operation of law i.e. in terms of section 214D prior to its repeal. The notice under section 177 (1) / 214D was issued to the appellant on 21.06.2018, whereby, request for production of books of accounts alongwith other relied document / evidence in support of declared income / assets was made to conduct audit of tax year 2016 but the appellant never complied with the requirement of above said notice, neither any reply was filed in this regard. Second notice was also issued but same was also not responded and finally notice to amend assessment under section 122(9) of the Income Tax Ordinance was issued on 15.01.2021 to the appellant which also has not been responded. In such scenario, the appellant has no case, even otherwise the petition is not maintainable due to availability of alternate remedy.

4. Argument heard, record perused.

5. Learned counsel for the appellant has been confronted qua the findings given by learned Judge in Chambers in para-5 and 6, which are as under:-

What is evident from the record is that Section 214D was repealed by Finance Act, 2018, which was after the issuance of first notice to the petitioner under Section 214D on 14.06.2018. Section 214D provided for audit of certain taxpayers and the notice under such provision was issued in the field. The repeal of Section 214D is not to be given effect retrospectively and would not invalidate notices duly issued under such provision at a time when the provision was in the field.

The record also reveals that none of the notices under Section 214D of the Ordinance issued on 14.06.2018 or 31.05.2019 were challenged by the petitioner, neither were the audit proceedings initiated pursuant to such notice or

notices under Section 176(1) seeking information and record from the petitioner by letter dated 05.10.2020 were challenged by the petitioner. It is only when a notice to amend the assessment dated 15.06.2021 under Section 122(9) of the Ordinance was issued that the petitioner challenged the same.

6. Learned counsel for the appellant has failed to negate the factual aspect referred in above paragraphs of the impugned order. There is no denial that Section 214D of the Income Ordinance stand repealed by virtue of Finance Act, 2018, but that was a subsequent act, whereas notices were earlier issued to the appellant, which has nothing to do with the proceedings initiated against the appellant.

7. Primarily appellant is aggrieved with the selection of audit of the appellant Company and the proceedings of audit have been conducted in terms of Section 177 of the Income Tax Ordinance, 2001, which is an independent provision, even the notices under Sections 214D and 177 of the Ordinance, were issued to the appellant prior to the repeal of the said provision, which aspect has not been denied, even the subsequent notices under Section 214C & D dated 31.05.2019 were issued to the appellant qua all records/documents/book of accounts, but the notice was not responded.

8. Similarly another notice dated 05.10.2020 under Section 176(1) of the Income Tax Ordinance, 2001 was issued to the appellant to obtain information and record, but the same is still not replied, as a result whereof, the notice to amend assessment under Section 122(9) of the Income Tax Ordinance, 2001 was issued on 15.06.2021 to the appellant, which was also not responded, this conduct of the appellant, demonstrates that the appellant is willfully avoiding the proceedings. Even otherwise, the proceedings have been initiated in terms of Section 122(9) of the Ordinance, which will be

culminated into a final order, whereafter an appropriate legal hierarchy has been provided under Income Tax law to challenge the same by way of appeal, even the Show Cause Notice is not an order, rather it is meant to confront the person or Company or assessee to provide certain information, whereafter legal proceedings could have been concluded under law.

9. For what has been discussed above, instant appeal is not maintainable as appellant has failed to point out any jurisdictional defect in this appeal, therefore, same is hereby **DISMISSED**

(TARIQ MEHMOOD JAHANGIRI) (MOHSIN AKHTAR KAYANI)
JUDGE JUDGE

Announced in open Court on _____

JUDGE

JUDGE

RAMZAN